

Business Ethics and Corporate Governance

BBA — 7th Semester — 2025 — Answer Sheet

Subject Code: MGT239

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

Brief Answer Questions: [10 × 2 = 20]

1. Show the similarity between business ethics and corporate governance.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. Mention two differences between ethics and law.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. State ethical issues in IT.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Define Anglo-American model.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Mention any two emerging trends in corporate governance.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. What are the roles of auditors in corporate governance?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. State the meaning of Elkington's Triple Bottom Line approach.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. What is normative consideration in ethical decision making?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Mention two features of OECD principles of corporate governance.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. Define business code of conduct.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions: (Attempt any SIX Questions)[6 × 5 = 30]

11. What are the consequences of unethical practices in business?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. Describe the ethical issues in marketing and sales.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. Critically assess the resource dependency theory of corporate governance.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. How can ethical decision-making model improve ethical business practices?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. State the significance of SA 8,000 and ISO 37000.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. Explain Friedman's shareholder theory of CSR.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

17. Discuss the role of board of directors in corporate governance.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Long Answer Questions: (Attempt any THREE Questions)[3 × 10 = 30]

18. Business ethics and corporate governance seems similar but in essence, they are different. Discuss.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

19. Explain the German and Japanese corporate governance models with examples.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

20. Managing corporate governance in family owned business in Nepal is challenging. However, its not unmanageable. Discuss the statement.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

21. Explain the key corporate governance provisions in prevailing Nepalese Company Act and FNCCI's business code of conduct, 2061.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section D

Comprehensive Answer / Case / Situation Analysis Questions:[4 × 5 = 20]

22. Analyze the following case carefully and answer the questions that follow:The Government of Nepal launched the Mid-Hill Highway Project, a long-awaited infrastructure initiative intended to connect rural communities with urban centers, reduce travel times, and stimulate local economies. A leading construction company won the contract, with a clear condition: it must comply with environmental regulations, especially regarding riverbed material extraction and the protection of nearby communities. However, as construction advanced, the company faced rising costs, frequent delays from monsoon landslides, and political pressure to complete the project before the upcoming elections. In an attempt to save time and money, the company began extracting sand and gravel illegally from nearby rivers, far beyond the permitted limits. This resulted in severe soil erosion, destruction of farmland, and the displacement of local families. When criticized by environmental activists, company officials argued that "national development requires sacrifice", claiming that short-term environmental harm was justified by the long-term benefits the highway would bring. Some government officials tacitly endorsed this strategy, seeking expeditious completion of the project for political gain. However, the affected communities launched protests, asserting that the project had sacrificed their lives and livelihoods for political and corporate gain. The case illustrates a deep ethical dilemma: should companies and governments prioritize deadlines and cost-efficiency, or should they uphold their ethical responsibility to protect the environment and communities? This dilemma reflects the larger issue of balancing economic development with sustainable and ethical practices in Nepal. Questions: a. What is the central ethical dilemma faced by the construction company? b. Was the company's decision justifiable from a utilitarian perspective? Why or why not? c. How could Corporate Social Responsibility (CSR) principles have provided a more ethical approach in this case? d. If you were the project manager, what strategy would you adopt to balance profitability, deadlines, and community well-being?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.